

# EMPLOYEE TERMINATION AND REMUNERATION POLICY

## NAMASTESQL PRIVATE LIMITED

| Document Control   | Details                                       |
|--------------------|-----------------------------------------------|
| Document Owner     | Human Resources                               |
| Policy Version     | 1.0                                           |
| Effective Date     | 1 January 2026                                |
| Review Frequency   | At least annually, and earlier when required  |
| Approval Authority | Board / Authorised Approval Authority         |
| Applicability      | Employees covered by Company employment terms |

## 1. PURPOSE AND OBJECTIVES

This policy establishes the Company's framework for employee remuneration and separation. It defines the treatment of salary, notice period, notice pay, severance, final settlement and exit benefits when employment ends through resignation, performance-related termination, misconduct, redundancy, probation termination, fixed-term completion or retirement.

The policy is intended to provide employees, managers, Human Resources and Finance with clear and consistent rules for determining amounts payable at the time of separation.

## 2. POLICY PRECEDENCE

- The employee's appointment or employment letter shall be reviewed before determining separation payments.
- Where applicable law provides a mandatory or more favourable entitlement, the applicable legal requirement shall prevail.
- Any approved exception to this policy must be documented in writing by the authorised management authority.

### 3. DEFINITIONS

| Term                  | Definition                                                                                                                         |
|-----------------------|------------------------------------------------------------------------------------------------------------------------------------|
| Base Salary           | Monthly fixed basic salary used as the primary basis for severance calculations under this policy.                                 |
| Gross Monthly Salary  | Monthly salary payable under the employee's approved compensation structure, excluding reimbursable business expenses.             |
| Notice Period         | The number of calendar days an employee is required to work or be paid for before employment ends.                                 |
| Notice Pay            | Salary paid instead of requiring an employee to serve all or part of the applicable notice period.                                 |
| Severance             | A separate termination payment provided by the Company for qualifying non-disciplinary separation events.                          |
| Final Settlement      | The final calculation of salary, notice pay, severance, eligible leave, approved expenses, variable pay and authorised deductions. |
| Redundancy            | Termination because a role, position or business requirement is eliminated or materially reduced.                                  |
| Termination for Cause | Termination arising from serious misconduct, fraud, material policy breach or other disciplinary grounds.                          |
| Last Working Day      | The final date on which the employee is required to perform employment duties.                                                     |

### 4. REMUNERATION FRAMEWORK

The Company shall administer remuneration according to the employee's approved compensation structure, employment terms and applicable Company policies. For separation purposes, recurring salary components shall be distinguished from reimbursements and discretionary payments.

#### 4.1 Salary components

| Component              | Treatment at separation                                                                                                 |
|------------------------|-------------------------------------------------------------------------------------------------------------------------|
| Base Salary            | Used as the primary basis for calculating severance under this policy.                                                  |
| Fixed Allowances       | Payable through the applicable Last Working Day unless the employment terms provide otherwise.                          |
| Variable Pay           | Payable only where the applicable incentive plan makes the employee eligible and the relevant conditions are satisfied. |
| Expense Reimbursements | Approved business expenses are processed separately from salary against required supporting documents.                  |
| Awards                 | Discretionary awards are not included in final settlement unless formally approved or contractually payable.            |
| Statutory Benefits     | Administered according to applicable eligibility and statutory requirements.                                            |

#### 4.2 Partial-month salary

For payroll calculation under this policy, a partial month is calculated using a 30-day divisor unless a different basis is specified in the employee's employment terms. Daily salary equals monthly salary divided by 30.

Example: An employee with a Gross Monthly Salary of INR 120,000 who is eligible for 15 days of salary receives INR 60,000 before applicable deductions.

## 5. TYPES OF EMPLOYEE SEPARATION

| Separation Type         | Typical Trigger                                                                  | Payment Treatment                                                                                             |
|-------------------------|----------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------|
| Resignation             | Employee voluntarily chooses to leave.                                           | Salary through LWD + eligible dues. Notice must be served or adjusted according to applicable terms.          |
| Performance Termination | Performance remains materially below expectations after documented intervention. | 1 month Gross Monthly Salary as notice pay + eligible final dues.                                             |
| Misconduct / Cause      | Serious misconduct, fraud or material policy breach.                             | Salary through LWD + eligible dues. No discretionary severance.                                               |
| Redundancy / Layoff     | Role eliminated, restructuring or workforce reduction.                           | 3 months Base Salary as severance + applicable notice pay + eligible final dues.                              |
| Probation Termination   | Employee is not confirmed during probation.                                      | 15 days Gross Monthly Salary in lieu of notice + eligible dues.                                               |
| Fixed-Term Completion   | Contract reaches its agreed end date.                                            | Salary through contract end date + eligible dues. No additional severance unless contract provides otherwise. |
| Retirement              | Employee reaches approved retirement date.                                       | Salary through retirement date + eligible dues and approved retirement benefits.                              |

### 5.1 Termination approval

- Performance, misconduct and redundancy terminations require review by Human Resources before the termination communication is issued.
- Final termination approval shall be provided by the authorised management authority applicable to the employee's level.
- Managers shall not independently promise a severance amount that differs from the approved policy or employment terms.
- Exceptions must be documented and approved by Human Resources and authorised management.

### 5.2 Effective date

The termination communication shall state the effective date and the employee's Last Working Day. Where notice is paid in lieu of service, the applicable notice period shall be identified in the settlement calculation.

## 6. NOTICE PERIOD

| Employee Category                            | Notice Period                                 |
|----------------------------------------------|-----------------------------------------------|
| Probationary employee                        | 30 calendar days                              |
| Confirmed individual contributor             | 60 calendar days                              |
| Manager / Senior Manager                     | 90 calendar days                              |
| Director / Executive leadership              | 90 calendar days                              |
| Employee with a different contractual clause | Notice period stated in the employment letter |

## 7. NOTICE PAY AND EARLY RELEASE

Where the Company ends employment without requiring the employee to serve the full applicable notice period, notice pay shall be provided for the unserved period, subject to the employee's employment terms.

- Notice pay is calculated using Gross Monthly Salary unless the employment letter specifies another basis.
- An authorised written agreement may shorten or waive the notice period.
- Where an employee resigns and leaves before completing the required notice without an approved waiver, the Company may recover the applicable unserved notice amount to the extent permitted by the employment terms and applicable law.
- Leave during the notice period is ordinarily not permitted unless specifically approved by the authorised manager or HR or required by law.

### 7.1 Notice-pay examples

| Scenario                                                   | Calculation                     | Amount              |
|------------------------------------------------------------|---------------------------------|---------------------|
| 60-day notice; immediate release; salary INR 120,000/month | INR 120,000 x 2                 | INR 240,000         |
| 90-day notice; 30 days served; salary INR 150,000/month    | INR 150,000 x 2 unserved months | INR 300,000         |
| 30-day notice; 20 days served; salary INR 90,000/month     | INR 90,000 / 30 x 10            | INR 30,000 recovery |

## 8. REDUNDANCY / LAYOFF

Where an employee's role is eliminated because of restructuring, business consolidation, closure of a function, technology change, reduction in business demand or another non-disciplinary business reason, the separation may be classified as redundancy.

### 8.1 Redundancy payout

| Payment Component | Company Rule                                                                     |
|-------------------|----------------------------------------------------------------------------------|
| Severance         | 3 x Base Salary                                                                  |
| Notice Pay        | Gross Monthly Salary x unserved notice months                                    |
| Salary            | Salary through the Last Working Day                                              |
| Eligible Leave    | Eligible leave encashment according to Company rules and applicable requirements |
| Approved Expenses | Unpaid, approved business reimbursements                                         |
| Variable Pay      | Only where the applicable plan makes the employee eligible                       |
| Other Dues        | Applicable contractual and statutory dues                                        |

## 8.2 Redundancy example

Employee: Manager. Base Salary = INR 100,000 per month. Gross Monthly Salary = INR 150,000 per month. Notice period = 90 days. The Company releases the employee immediately.

| Component                     | Calculation                     | Amount      |
|-------------------------------|---------------------------------|-------------|
| Redundancy severance          | 3 x INR 100,000                 | INR 300,000 |
| Notice pay                    | 3 x INR 150,000                 | INR 450,000 |
| Salary through LWD            | 15 days worked                  | INR 75,000  |
| Eligible leave                | 8 days x INR 5,000              | INR 40,000  |
| Approved expenses             | Pending approved claims         | INR 12,000  |
| Illustrative gross settlement | Before deductions / adjustments | INR 877,000 |

## 8.3 Redundancy eligibility

- Redundancy severance is not payable where the separation is classified as termination for serious misconduct, subject to applicable law.
- An employee who resigns voluntarily is not eligible for redundancy severance.
- Severance may be replaced by a different amount where an authorised written settlement agreement provides otherwise.
- The Company shall not classify a disciplinary termination as redundancy merely to avoid the applicable disciplinary process.

## 9. PERFORMANCE-RELATED TERMINATION

Where performance remains materially below expectations after appropriate performance-management measures, the Company may terminate employment in accordance with the employment terms and applicable requirements.

- Performance concerns should be documented through goals, feedback, review discussions and, where appropriate, a Performance Improvement Plan.
- The employee may be provided coaching, training or a defined improvement period before further action.
- If termination is approved, the employee receives 1 month Gross Monthly Salary as notice pay unless the employment letter provides a different notice entitlement.
- Eligible salary, leave, approved expenses and other contractual or statutory dues are handled through final settlement.

## 10. MISCONDUCT / TERMINATION FOR CAUSE

Termination for cause may arise from serious misconduct, fraud, material policy breach, falsification, serious conflict of interest, serious harassment, unauthorised disclosure of confidential information or other legitimate disciplinary grounds.

### 10.1 Disciplinary process

- The concern shall be recorded and relevant facts or documents preserved.
- Human Resources shall determine whether a formal investigation or disciplinary process is required.
- The employee shall be given an appropriate opportunity to provide an explanation or relevant information.
- Fact-finding shall be conducted where required, with appropriate confidentiality.
- The authorised management authority shall determine the appropriate action based on the facts, employment terms and applicable requirements.
- Where termination is approved, Human Resources shall issue the required written communication and initiate exit controls.

### 10.2 Payment on termination for cause

- No discretionary severance is payable under this policy.
- Salary through the Last Working Day remains payable subject to normal payroll calculations and deductions.
- Approved business expenses and other eligible contractual or statutory dues shall be included in final settlement.
- Any recovery or deduction must be authorised and legally permissible.

## 11. PROBATION TERMINATION

The Company may place new employees on probation as stated in their employment letters. The common probation period is six months. Confirmation is not automatic merely because the probation period has elapsed; the Company may confirm, extend probation or take other lawful action based on performance and business requirements.

### 11.1 Payment on probation termination

- For a probationary employee terminated without cause, the Company shall provide 15 days of Gross Monthly Salary in lieu of notice.
- Salary through the Last Working Day and eligible final dues shall be calculated separately.
- No redundancy severance is payable where the employee is terminated during probation unless expressly approved otherwise.

#### Example

A probationary employee earning INR 70,000 per month is released immediately. Notice pay =  $\text{INR } 70,000 / 30 \times 15 = \text{INR } 35,000$ . If the employee also has INR 5,000 in eligible final dues, the illustrative settlement before deductions is INR 40,000.

## 12. FIXED-TERM CONTRACT COMPLETION

When a fixed-term employment contract reaches its agreed end date and is not renewed, the employee receives salary through the contract end date and other eligible final dues. No additional discretionary severance is payable unless the contract or an approved Company arrangement provides otherwise.

## 13. FINAL SETTLEMENT

Final settlement is the closing calculation of all amounts payable to or recoverable from an employee following separation. Human Resources and Finance shall use the following sequence.

### 13.1 Settlement calculation sequence

- Confirm the separation type and effective date.
- Confirm the contractual notice period and whether any part is served or paid in lieu.
- Calculate salary through the Last Working Day.
- Add applicable notice pay.
- Add applicable severance, if the separation category qualifies.
- Add eligible leave encashment, approved expenses and eligible variable pay.
- Apply authorised recoveries, advances, statutory deductions and other permitted adjustments.
- Issue the final settlement statement and applicable relieving or experience documentation after completion of exit formalities.

### 13.2 Final settlement components

| Component      | Treatment                                                                         |
|----------------|-----------------------------------------------------------------------------------|
| Salary         | Salary payable through the approved Last Working Day.                             |
| Notice Pay     | Amount payable for the applicable unserved notice period.                         |
| Severance      | Applicable only to qualifying non-disciplinary separation categories.             |
| Leave          | Eligible leave encashment according to Company rules and applicable requirements. |
| Variable Pay   | Handled according to the applicable incentive or variable-pay plan.               |
| Expenses       | Approved business expenses supported by required documentation.                   |
| Recoveries     | Authorised advances, deductions or other permissible recoveries.                  |
| Statutory Dues | Applicable statutory benefits and payments.                                       |

### 13.3 Worked examples

| Case                    | Key Facts                                                                                    | Settlement Before Deductions                                                      |
|-------------------------|----------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|
| Layoff                  | Base INR 80,000; Gross INR 120,000; 90-day notice; immediate release; leave value INR 20,000 | INR 240,000 severance + INR 360,000 notice + INR 20,000 leave + salary/other dues |
| Performance termination | Gross INR 100,000; 60-day notice; 1 month notice pay; leave INR 15,000                       | INR 100,000 notice + INR 15,000 leave + salary/other dues                         |
| Misconduct              | Gross INR 100,000; LWD salary INR 50,000; approved expenses INR 8,000                        | INR 58,000 + other eligible dues; no discretionary severance                      |
| Probation termination   | Gross INR 70,000; 15-day notice pay; other dues INR 5,000                                    | INR 40,000 + salary/other eligible dues                                           |

## 14. EXIT FORMALITIES

- Complete work and document handover.
- Return laptop, access card, devices, files, keys and other Company property.
- Close open expense and reimbursement claims.
- Reconcile advances and outstanding Company dues.
- Revoke system and physical access at the approved release point.
- Complete an exit interview where applicable.
- Confirm final salary, notice pay, severance and other eligible amounts.
- Issue relieving and experience documents subject to completion of applicable formalities.

## 15. LEAVE AND BENEFITS AT SEPARATION

- Earned Leave entitlement is administered according to the Company's leave policy and applicable requirements.
- Up to 6 days may be carried forward under the existing Company policy, subject to applicable requirements.
- Eligible leave may be encashed in accordance with Company rules and applicable requirements.
- Benefits continue or cease according to the applicable employment terms, benefit plan and statutory requirements.
- Variable compensation is governed by the applicable incentive plan and eligibility conditions.

## 16. ROLES AND RESPONSIBILITIES

| Function              | Key Responsibilities                                                                                                        |
|-----------------------|-----------------------------------------------------------------------------------------------------------------------------|
| Employee              | Provide accurate information, complete notice and handover obligations, return Company property and submit eligible claims. |
| Reporting Manager     | Manage performance and handover, approve operational matters and communicate material concerns to HR.                       |
| Human Resources       | Interpret and administer the policy, maintain records, coordinate separation and ensure required documentation.             |
| Finance               | Process salary, notice pay, approved reimbursements, deductions and final settlement.                                       |
| Authorised Management | Approve termination decisions, exceptions, early releases and other matters within delegated authority.                     |

## 17. REVIEW AND GOVERNANCE

- This policy shall be reviewed at least once every year and earlier when material business or legal requirements change.
- Human Resources shall maintain the controlled version of the policy.
- Managers shall implement the policy consistently.
- Where a provision becomes inconsistent with applicable law, the legally required provision shall prevail and the policy shall be updated at the earliest practical opportunity.

## POLICY APPROVAL

| Approval      | Details                                      |
|---------------|----------------------------------------------|
| Document      | Employee Termination and Remuneration Policy |
| Version       | 1.0                                          |
| Prepared By   | Human Resources                              |
| Reviewed By   | Authorised Management / Legal / Compliance   |
| Approved By   | Board / Authorised Approval Authority        |
| Approval Date | _____                                        |